

8795.T pitch deck

PITCH — 8795.T — VERDICT

PROPOSED — PENDING ADJUDICATION — a small dividend-income starter in T&D Holdings, bought only on a limit at ¥4,700 or lower (spot ¥4,872), sized 0.4–0.5% of the book, explicitly *not* a cheap-stock idea.

What we believe

T&D Holdings is the parent of three Japanese life insurers (Taiyo, Daido, and T&D Financial Life). At ¥4,872 it pays ¥164 a share this fiscal year — 3.37% before tax, about 2.85% after Japan's 15.315% withholding — under a stated policy of returning roughly 60% of profit to shareholders every year from FY2026 through FY2030 ([company shareholder-return page](#)). The dividend has gone ¥80 → ¥130 → ¥164 over three years, and the company holds more capital than its own target range (its solvency ratio is 229% against a stated “appropriate” band of 180–225%), which means the money for the payout exists and then some.

We believe this is a reasonable, honestly-priced income holding in yen, funded in yen. We do **not** believe it is a bargain. The one number that made it look like a bargain — the stock trades at roughly 0.56–0.60x the company's own estimate of its embedded value — is a number management calculates itself, on a method it changed this year, without restating last year for comparison.

The most defensible version of the idea: buy it for the dividend, at a price where the dividend is worth 3.5% or better, in a size small enough that being wrong about the growth story costs us very little.

What the market believes

The market believes this is a rate-normalization trade that already worked. The stock is up 52.9% from its 52-week low of ¥3,186 and sits only 5.9% below its high of ¥5,176. It trades at 1.40x book value in a sector that spent the last decade well below book. Ten analysts average a ¥5,125 target — 5.2% above spot — and the most recent broker action was a **downgrade** (Nomura to Hold, target ¥4,800, i.e. *below* today's price, dated 2026-06-03). Analysts collectively forecast ¥148.3bn of net income this year against company guidance of ¥135bn, so the street already assumes management is sandbagging.

In plain terms: everyone knows Japanese rates went up, everyone knows life insurers benefit, and everyone has bought it. There is no secret here.

Why we might have edge

Honestly, thin. Three candidates, in descending order of strength:

1. **A price-and-patience edge, not an information edge.** Nothing in the courts says the business is broken. If we simply refuse to pay up and get filled at ¥4,700 or lower, we own a 3.5%+ yen dividend from a well-capitalized insurer. That is a discipline edge, not an insight.
2. **The measurement question is genuinely open, and it cuts our way at the margin.** Even if you assume the worst about the method change — value the company against last year's *unrestated* embedded value of ¥3,945.7bn — the stock still trades at ~0.59x that figure versus ~0.70x for Dai-ichi Life. A ~15% gap survives the most hostile assumption available. That is not a bargain, but it is not “fully priced” either.
3. **We found a mechanism question nobody appears to have asked.** Taiyo and Daido are protection businesses (death and health cover), not savings businesses. Public composition data suggests interest-rate risk is only about 19% of their total risk — low for a life insurer. If that is right, T&D's solvency ratio rising (222% → 229%) while Dai-ichi's fell (220% → 206%) is evidence of *less* rate exposure, not better positioning — which would mean T&D is a **poor** way to bet on Japanese rates, not a good one. Whichever way that resolves, it is a real question about the actual mechanism, and it is unresolved.

Item 3 is the only thing in this deck that looks like original work, and it is unverified.

Why it might be priced in

Most of it probably is.

- Every valuation measure with an outside anchor says fully priced: 1.40x book, 16.6x trailing earnings, 17.3x on company guidance, +5% to the average analyst target.
- The stock has already re-rated. A 53% move off the low is the market pricing the rate story.
- The company guides this year's operating profit **down 8.6%** and net income down 2.9%. Buying a stock at a 26-year-high valuation into guided-down earnings requires believing the guidance is deliberately low — which the street already believes, which means that belief is in the price too.
- The one exciting item — selling T&D Financial Life to the PayPay group — is small (that unit earned ¥7.6bn, about 3.2% of the three insurers' ¥240.5bn combined core profit), has **no disclosed price**, closes 2027-10-01 (13 months away), and is conditional on the buyer completing its own accounting-standards conversion ([company release, 2026-06-04](#)). That is an option, not a catalyst.

What could go wrong

Failure narrative 1 — we bought the wrong instrument for the right idea (monitorable).

The thesis rests on Japanese rates rising being good for this company. If Taiyo and Daido are genuinely protection books with only ~19% of risk in interest rates, T&D captures much less of that than a savings-heavy insurer would. The stock then lags the very theme that got it re-rated, and we hold a 3.4% dividend in a name that de-rates from 1.40x book back toward 1.0x — a 28% loss that no amount of dividend covers. **Tripwire:** the risk-amount composition table in the FY3/2026 embedded-value and

solvency report. This is currently sourced from trade press, not the company's own document. Get the primary table.

Failure narrative 2 — the cheapness was never there (monitorable). Embedded value rose ¥292.9bn, but the composition is telling: adjusted net worth **fell ¥211.0bn**, value of in-force business rose ¥503.9bn. That shape is the fingerprint of a methodology change, not of the business earning more. If the company's own movement analysis shows most of that ¥503.9bn is method rather than organic, then the last remaining "cheap" number evaporates and we are holding a 17x-earnings insurer at 1.4x book for a 2.85% after-tax yield. **Tripwire:** the FY3/2026 embedded-value report's movement analysis, splitting method change from organic growth.

Failure narrative 3 — something inside the liability book that we cannot see, and have no way to watch (NO TRIPWIRE). A life insurer's balance sheet is a set of management models: lapse assumptions, mortality assumptions, reinvestment assumptions, and a solvency framework the Japanese regulator is *actively recalibrating* — the new basis is why the comparison problem exists in the first place. The ¥211bn drop in adjusted net worth is the visible edge of something we do not understand. There is no quarterly disclosure that would warn us if the regulator retunes the calibration, if policyholder behaviour shifts as rates rise (savings policies become surrenderable at exactly the moment bond marks are underwater), or if a reserving assumption is quietly strengthened. We would learn about it in an annual report, after the price moved.

The unknown-unknown class here is **opaque-liability model risk in a management-marked balance sheet under a regulator mid-recalibration**. There is a second, compounding class: **unmonitored-plane risk** — the desk has no wired Japanese disclosure rail. T&D discloses on TDnet in Japanese; we have no watcher on it. Even the tripwires named in narratives 1 and 2 will only fire if a human remembers to go look. And this court produced a related infrastructure finding: 16 of 16 automated detectors misfired on this name, matching on features of US small-caps and physical-asset businesses that a Japanese insurance holding company does not have. We are, for this name, effectively flying without instruments.

The reflexive / structural leg. Our own size is not the problem: T&D is a ¥2.34tn company on the Tokyo Prime market, and a 0.4–0.5% book position is a rounding error against daily volume. (I should say plainly that I could not verify daily volume — the IBKR data rail returned a permission denial for both benches and was never restored. The conclusion is an inference from market cap, not a measurement.)

The flow that matters is somebody else's. The company's own ¥30bn buyback runs 2026-06-08 to **2026-09-30**, with roughly ¥7.9bn left as of 2026-08-12. A daily mechanical bid disappears in four weeks, with no successor announced. Two days before that, on ~2026-09-29, the stock goes ex-dividend for ¥82 — a mechanical 1.7% price drop.

This collides with our own rules in two ways:

- **Our flow rule says don't buy into a decline we ourselves predict.** We are forecasting that the biggest marginal buyer steps away on 9/30. Buying at ¥4,872 in the week before that is

bidding alongside a bid we expect to vanish.

- **Our tax rule says price the exit and the income after tax.** One bench treated the ¥82 interim dividend as free money that our entry gate should not “forfeit.” It is not free. Owning through the ex-date converts ¥82 of share price into ¥82 of taxable dividend — ¥69.44 after 15.315% Japanese withholding, before any foreign tax credit recovery. That is a leakage of up to ¥12.56 per share (0.26%) for the privilege of collecting a coupon we could have simply had as price. If the foreign tax credit is fully usable the leakage is near zero; if it is not, buying *before* the ex-date is mildly worse than buying after, not better. Neither bench priced this.

Net: there is no urgency argument. The structural facts point to entering *after* 9/30 or not at all, at a lower price that reflects the withdrawn bid.

If this position loses money, the most likely reason will be that we paid a full price — 1.4x book, 17x guided earnings, 5% below the average analyst target — for a rate-normalization story that this particular insurer, with only about a fifth of its risk in interest rates, was never the right vehicle to express, and the discount that made it look safe turned out to be an artifact of a valuation method the company changed and did not restate.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The 2026-08-28 correction is an integrity event that kills the name	Red bench pulled and read the full correction PDF	It is not. The filing states plainly that ordinary profit contains no error; the changes are offsetting reclassifications between two profit sub-categories at the smallest subsidiary. The original brief also had the date range wrong (it ends FY3/2026, not FY3/2027 Q1) and named the wrong disclosure series.	No — refuted. Our own brief’s blocking objection was wrong, and the bench that raised it killed it against its own interest.
...but the same document shows the profit decomposition is fragile	Read the offsetting entries	The cause was foreign-currency-linked insurance liabilities misbooked for 12 consecutive disclosures. Real mechanism, worth adding to the library.	Partly. Our red bench called this severe; our blue bench measured it: the correction moves three-company core profit by 0.3–0.6%. Too small to change any judgment about this quarter. Red overstated it.
Capital returns are shrinking 33% year-over-year	Both benches read the company’s shareholder-return page	False — a calendar artifact. Red compared a ¥30bn buyback running 3.7 months against a ¥100bn buyback that ran 10.5 months. Annualized, that is ~¥97bn versus ~¥114bn. The company has also run two buyback tranches in a single fiscal year before (FY3/2023).	No — our own bench’s most-cited objection was arithmetic error.
“Strip out embedded value and nothing cheap	Recomputed against the <i>unrestated</i> prior-year	Fails on its own arithmetic. Even at the most hostile assumption, 0.59x versus a	No — overturned. The discount

Claim	How checked	Found	Confirmed?
remains”	figure	peer at 0.70x. The method change explains at most ~4 of the ~15–21 percentage points of discount.	narrows; it does not disappear.
The embedded value comparison is a like-for-like bargain	Read the composition	Adjusted net worth – ¥211.0bn , value of in-force + ¥503.9bn . Neither bench had read this before the second pass. That shape is characteristic of a basis change.	No — the “0.55x vs 0.70x” cheapness claim is not usable as stated.
Market capitalization / price-to-embedded-value arithmetic	Recomputed from the pack	Two capitalization figures are in circulation: ¥2.38tn (vendor) and ¥2.338tn (479.9m shares × ¥4,872). The bench’s 0.593x uses the latter; the vendor figure gives 0.603x. Likely treasury-share treatment.	Partly — the gap is 1.8% and does not change any conclusion, but the reconciliation is unverified.
The company’s guidance is the right earnings number	Cross-read both benches	Our red bench used company guidance (¥135bn net income) to argue payouts shrink, then in the next finding cited the street’s ¥148.3bn to argue there’s no upside. Both cannot be load-bearing.	No — internal inconsistency in our own work. Neither bench produced the desk’s own earnings estimate with a named mechanism. That work is still owed.
“Sector historically trades at 0.5–0.8x book, so 1.4x is expensive”	Traced the source	Un sourced , and it is a zero-rate-era benchmark. The whole premise is that the zero-rate era ended. Using it assumes the conclusion.	No — discard.
The T&D Financial Life sale materially strengthens the case	Read the primary release	No price disclosed, closes 2027-10-01, conditional on the buyer’s own accounting conversion, unit is 3.2% of core profit.	No. One caveat on our own dismissal: if the argument is <i>de-risking</i> rather than earnings, profit share is the wrong denominator — the right one is policy reserves and interest-rate risk, which we did not obtain.
Q1 operating profit +29.9% means full-year earnings ~¥169bn (“13.8x earnings”)	Checked the derivation	This annualizes a seasonally strong, investment-gain-fed quarter against guidance the company set <i>down</i> 8.6%, with no mechanism given. It implies 14% above consensus for no stated reason.	No — reject.
Are there automated red flags on this name?	16 detectors dispatched across both benches	All 16 misfired — they matched on US small-cap and physical-asset features this company does not have. All binding evidence came from four primary documents retrieved by hand.	No — this is a tooling failure, reported as such.
Live price	IBKR rail attempted; denied. Closed with a second vendor at Tokyo close.	¥4,872, 2026-09-02 15:40 JST, prior close ¥4,950 (–1.58%).	Yes, but via workaround. Trading-volume and

Claim	How checked	Found	Confirmed?
			borrow data remain unobtained.

PROPOSED ENTRY BANDS

Both benches independently concluded: **no purchase at ¥4,872**. They differed on where to bid, and the difference is reconcilable, so this ladder uses both.

Entry ladder (limit orders only, good-til-cancelled, evaluated on Tokyo regular-session prices only):

Step	Trigger	Action	Cumulative size	Reasoning
1	≤ ¥4,700 , before 2026-09-29	Buy	0.20% of book	Below the lowest published analyst target (¥4,590 is the floor, ¥4,800 the most recent) implies no chase; dividend at this price is 3.49% gross. Only fills if the market pulls back 3.5%.
2	≤ ¥4,620 , on or after 2026-09-30	Buy	0.40%	Step 1's price less the ¥82 dividend — the same valuation after the shares go ex-dividend. Also after the company's buyback support lapses, so we are not buying alongside a bid we expect to vanish. Dividend 3.55%.
3	≤ ¥4,500	Buy	0.50% (cap)	The stricter bench's level. Dividend 3.64%. Do not exceed 0.50% before the embedded-value report is read.

No market order. No purchase at spot. If nothing fills, we own nothing, and that is an acceptable outcome — the courts produced no argument that this must be owned today.

Size cap: 0.50% of the book, against a normal 0.5–1.0% starter for a fairly-priced quality name. The cut is for two reasons: the name is widely owned and already re-rated, and its primary cheapness metric had to be discarded. Raise the cap to 0.75% only if *both* of these land: (a) the FY3/2026 embedded-value movement analysis shows organic growth of ¥200bn or more of the ¥292.9bn, and (b) the primary risk-composition table shows meaningful interest-rate exposure, refuting failure narrative 1.

Funding: yen, per standing policy. No currency forward, no currency alarm — the position is financed in the same currency it is denominated in.

Exits and trims — neither bench proposed any, so these are mine and labelled as such: - **Trim to half** if the stock reaches **¥5,600** *without* the embedded-value report confirming organic growth. At ¥5,600 the dividend falls to 2.93% gross and the price-to-embedded-value on the hostile prior-year basis reaches ~0.68x — i.e. level with Dai-ichi, with the discount gone and only the income left. - **Exit in full** if the primary risk-composition table confirms interest-rate risk is ~19% or lower of total risk *and* the stock is above ¥4,900. That combination means we own a fully-priced insurer for a reason that does not apply to it. - **No stop-loss on price alone.** For a dividend position, a lower price is a better dividend; only the two evidence-driven exits above apply.

Catalyst dates: - 2026-09-29 (approximate) — shares go ex-dividend for the ¥82 interim payment. Derived from the confirmed 2026-09-30 record date; the exact ex-date is not independently confirmed. - **2026-09-30** — the ¥30bn buyback program expires (confirmed, primary IR). Roughly ¥7.9bn was still unspent as of 2026-08-12. - **2026-11-13 (unconfirmed)** — expected half-year results. Derived from a data vendor; no company announcement names it. The company's own disclosure history shows half-year releases on 2023-11-14, 2024-11-14 and 2025-11-14, and 2026-11-14 falls on a Saturday, so the date is plausible but not confirmed. **This is the decision point:** a successor buyback of ¥60bn or more, plus first-half operating profit tracking at 55%+ of the ¥235bn guidance *with the profit split disclosed*, would be the single strongest confirmation available. - **2027-10-01** — target closing of the T&D Financial Life sale (date named in the primary release; the closing itself is conditional on regulatory approval and the buyer's accounting conversion). - **Undated** — publication of the FY3/2026 embedded-value report with its movement analysis. This is the most important document we do not have and we do not know when it lands.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 4500.0 (deck-provisional: Step-3 final add to the 0.50% cap; the stricter bench's level, 3.64% gross yield.)
- dated pack 8795.T|2026-09-29: 8795.T: Approximate ex-dividend date for the ¥82 interim payment (record date 2026-09-30); mechanical ~1.7% price drop, and after 15.315% wi

- dated pack 8795.T|2026-09-30: 8795.T: Y30bn buyback program expires with roughly Y7.9bn unspent as of 2026-08-12; a daily mechanical bid disappears with no successor anno
- dated pack 8795.T|2026-11-13: 8795.T: Expected half-year results - the decision point for sizing up: successor buyback, first-half profit tracking versus the Y235bn guide
- dated pack 8795.T|2027-10-01: 8795.T: Target closing of the T&D Financial Life sale to the PayPay group; conditional on regulatory approval and the buyer's own accounting

What remains unverified

- **How much of the ¥292.9bn embedded-value increase is method change versus real growth.** The single most decisive open item. Resolves in the FY3/2026 embedded-value movement analysis.
- **Why adjusted net worth fell ¥211.0bn.** If a material part is a rate-driven loss on the bond portfolio, it directly contradicts the “rising rates are good” leg.
- **The actual interest-rate risk composition.** The ~19% figure driving failure narrative 1 comes from trade press, not from the company. Needs the primary table.
- **T&D Financial Life's share of policy reserves and interest-rate risk** — the correct measure of whether selling it is meaningful de-risking. We only have its profit share (3.2%).
- **The sale price of T&D Financial Life.** Not disclosed anywhere.
- **Whether a successor buyback is coming,** and at what size.
- **Our own forecast for this year's earnings.** Neither bench produced one with a stated mechanism. Until we have one, “the street is at ¥148.3bn versus guidance of ¥135bn” is somebody else's opinion, not our view.
- **The next results date** (2026-11-13 is inferred, not announced) and the exact ex-dividend date.
- **Trading volume, spread, and any borrow constraints** — the data rail was denied.
- **Analyst consensus itself is inconsistent across vendors:** one source shows 10 analysts averaging ¥5,125, another 9 analysts averaging ¥4,357.8. Under either, upside to consensus is 5% or less, so it does not change the conclusion — but the disagreement is unresolved.
- **The recoverability of Japanese dividend withholding tax** via foreign tax credit, which determines whether the ex-date leakage is ¥0 or ¥12.56 per share.
- **The buyer's ability to close.** The T&D Financial Life sale depends on the PayPay group completing an accounting-standards conversion — a third party's internal project, on which we have no visibility.

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